

THE GENZ F&B PLAYBOOK

How the next generation of F&B brands is being built.
Instagram first. Community over menu. The Tier 2 opportunity.

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Data: Mordor Intelligence, Airbtics, World Coffee Portal, Tastewise, Company Sources

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1. Executive Summary

The Indian cafe market is \$18.83 billion and growing at 8.92% CAGR. There are 5,339 branded coffee outlets. And yet, the biggest new F&B brands in India are not coffee shops. They are GenZ beverage bars that do not serve hot coffee.

The Opportunity in 5 Points

- **GenZ drinks differently.** 56% of GenZ beverage orders are cold drinks. Nearly half of GenZ avoids alcohol. They want iced matcha, functional beverages, and drinks that look

as good on Instagram as they taste. The traditional cafe menu does not serve this customer.

- **Instagram is the new distribution channel.** The brands winning are not built on Swiggy and Zomato. They are built on Instagram and YouTube Shorts. DRNK in Bandra had queues from day 1 because the menu went viral on social media before the store opened. Blank Street in the US hit \$1 billion valuation through TikTok virality.
- **VCs are funding this thesis.** DRNK is backed by Nikhil Kamath's WTFund. Alienkind raised \$1.2M at \$10M valuation. Blank Street raised \$127M from General Catalyst and Tiger Global. MatchaBar raised \$14M backed by Drake and Billie Eilish. Smart money is moving from coffee to GenZ beverages.
- **The global matcha market is exploding.** The matcha market reached \$4.5 billion in 2025, growing at 9.7% CAGR. Starbucks tripled its matcha menu because tea revenue jumped 70%. Matcha caused a global shortage in Japan. Suppliers raised prices 150%.
- **None of this exists in Tier 2 India.** DRNK, Alienkind, Tokyo Matcha Bar -- all metro only. In Jaipur, the closest thing is Coffee Sutra adding a matcha latte to its coffee menu. Indore, Lucknow, Chandigarh -- zero dedicated GenZ beverage formats. 60% of new cafe store openings are targeting Tier 2 cities. The consumer is there. The format is not.

2. How India's Coffee Culture Evolved

India's relationship with coffee has gone through distinct waves. Understanding where we are helps you see where the opportunity lies.

Wave	Era	Key Players	Consumer	Price Point	Distribution
1st Wave	1990s-2005	CCD, Barista	Urban professionals	Rs 50-100	Physical stores
2nd Wave	2005-2015	Starbucks, Costa	Aspirational millennials	Rs 200-400	Mall + high street
3rd Wave	2015-2022	Blue Tokai, Third Wave, Subko	Coffee enthusiasts	Rs 200-500	D2C + specialty stores
GenZ Wave	2023-now	DRNK, Alienkind, matcha bars	GenZ, experience seekers	Rs 150-400	Instagram first, store second

Each wave did not replace the previous one -- it added a new layer. CCD still has 425 outlets. Starbucks has 480. Third Wave has 165+. But the GenZ wave is fundamentally different in one way: distribution. Every previous wave built physical stores first and used them as the brand. The GenZ wave builds the brand on social media first and uses the store as a destination for an audience that already exists.

India's branded coffee shop market reached 5,339 outlets in 2025, growing 12.7% YoY. The market is projected to surpass 10,000 outlets by 2030. The India cafes and bars market overall

is \$18.83 billion growing at 8.92% CAGR to reach \$31.47 billion by 2031. Independent outlets hold 76% market share -- the opportunity is for new independents, not chains.

3. How GenZ Actually Consumes

This section contains the data that most cafe owners have not seen. GenZ is not a younger version of millennials. They consume fundamentally differently.

Behaviour	Data
Cold drink preference	56% of GenZ beverage orders are cold drinks vs 14% for Boomers
Alcohol avoidance	Nearly 50% of GenZ avoids alcohol for health reasons
Dominant flavour preference	Sweet flavours at 68.4%, spicy at 23.1%
Eating pattern	Snacking and liquid meals replace fixed eating windows
Top categories	Coffee drinks, desserts, smoothies, snackable indulgent formats
Discovery channel	TikTok, YouTube Shorts, Instagram Reels
Purchase driver	Experience, community, and identity expression -- not just taste
Matcha menu growth	Matcha items on menus grew 30.22% YoY, social mentions up 107% YoY
Willingness to pay premium	High -- but for experience and community, not for the product alone

The critical insight: GenZ does not go to a cafe for coffee. They go for the experience, the aesthetic, the community, and the content. The drink is the entry ticket, not the destination. A cafe that serves great coffee but offers no experience, no photographable moments, and no community is invisible to GenZ.

India consumes 30 cups of coffee per capita annually versus the global average of 200. The growth headroom is massive. But the growth will not come from converting tea drinkers to coffee drinkers. It will come from creating entirely new beverage formats that GenZ already wants -- iced, flavoured, functional, and Instagrammable.

4. Case Study: DRNK

DRNK is the clearest example of the GenZ F&B playbook working in India right now.

Detail	Data
Founded by	Aryan Gandhi (age 17 at founding) and Raj Thakkar
Location	Bandra West, Mumbai. Second location in Andheri (DRNK Apartment).
Backed by	Nikhil Kamath's WTFund (Rs 20L non-dilutive grant, GenZ-focused fund)
Menu	Zero hot coffee. Iced beverages, matcha (10+ variants), slushies, flavoured lattes. 50% fewer calories than competitors.
Viral items	Birthday cake matcha, tiramisu latte, Bandra cold brew, banana pudding croissant
Positioning	Mass-premium. Affordable yet aspirational. "Modern cafe culture beyond traditional coffee."
Distribution strategy	Instagram-first. Menu went viral before store opened. Queues from day 1.
Store format	Small footprint, takeaway-first, bold aesthetic, neon signs, curated playlist
Expansion	Second location (DRNK Apartment) in Andheri -- neighbourhood-first, "third place" concept
Key insight	Inspiration from Dutch Bros (US) -- a cafe can be a community, not just a menu

What DRNK Gets Right

- **Menu designed for the camera.** Every drink is visually striking. Birthday cake matcha with a candle on top. Tiramisu latte with layered presentation. The menu is content before it is a beverage.
- **Instagram as the primary channel.** DRNK did not build on Swiggy. They built a following on Instagram through consistent aesthetic content, customer reposts, and viral menu drops. The store became a destination for an audience that already existed online.
- **Community over transactions.** DRNK Apartment (the second location) is positioned as a "third place" -- a neighbourhood spot for repeat visits, not one-time hype. The design is homely rather than curated. Familiarity is the hook.
- **GenZ pricing.** Mass-premium means affordable enough for daily visits but aspirational enough to feel special. Not competing with chai wallahs on price or Starbucks on luxury. Occupying the middle with better product and stronger brand.

5. Case Study: Alienkind

Detail	Data
Founded by	Vikram Kakkireni and Abhishek Kumar, 2024

Funding	\$1.2M seed round at \$10M valuation
Investors	Prakash Sikaria (Super.money founder), Ravi Iyer, Arpan Sheth
Positioning	"The Next Gen Juice Bar" -- lifestyle brand, not a juice shop
Strategy	Redefining QSR with unique value proposition, competitive pricing, strategic brand positioning
Expansion plan	Phase 1: key metropolitan cities. Funds for expansion and scale.
On Swiggy?	Yes -- but as a secondary channel after building the brand on social-first

Alienkind proves that the GenZ playbook is not limited to matcha or coffee. It works for juice, smoothies, and functional beverages. The common thread is not the product -- it is the approach: lifestyle branding, social-first distribution, community building, and VC-fundable unit economics.

The \$10M valuation for a juice bar would have been unthinkable five years ago. VCs are funding the thesis that GenZ beverage consumption is a structural shift, not a trend. The brands that capture this shift early will own the category the way Third Wave Coffee owned specialty coffee.

6. Global Proof Points

This is not an Indian phenomenon. The GenZ beverage shift is global and the scale of what is being built is staggering.

Brand	Country	Funding	Stores	Key Insight
Blank Street	US/UK	\$127M raised, \$1B valuation	90 stores	Pivoted from coffee to matcha. Called "GenZ Starbucks" by Bloomberg.
Mixue	China	IPO on HKEX	46,000+ stores	More outlets than McDonald's globally. Franchise model.
Chagee	China	\$411M raised, \$7.66B valuation	6,440 stores (96% franchise)	Nasdaq-listed. 20% net margins. 19-month franchise payback.
MatchaBar	US	\$14M total	3 cafes + 1,000 retail	Backed by Drake, Billie Eilish, Diplo. First matcha cafe in the US.

Project Matcha	US (Portland)	Bootstrapped	1 store	50+ person lines daily. GenZ founders. Opened May 2025.
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Blank Street is the most relevant comparison for India. They started as a coffee cart in Brooklyn in 2020. Noticed GenZ customers ordering matcha and iced beverages over hot coffee. Pivoted the entire brand. Now valued at \$1 billion with 90 stores across 8 cities. Backed by General Catalyst and Tiger Global. In April 2026, Financial Times reported they are raising another \$100M+. Their growth is being powered entirely by GenZ matcha demand.

The franchise proof comes from China. Mixue has 46,000 stores -- more than McDonald's globally. Chagee has 6,440 stores with 96% franchised and 20% net margins. The model of "build one store, prove economics, franchise aggressively" is proven at massive scale for new-format beverages.

7. The Matcha Opportunity

Metric	Data
Global matcha market (2025)	\$3.67-4.55 billion (multiple sources)
Projected by 2031-2033	\$5.35-9.12 billion (6.5-9.7% CAGR)
India matcha market (2024)	\$41.9 million revenue
India projected (2033)	\$96.4 million (2.3x growth)
Matcha menu items growth	+30.22% YoY globally
Social media mentions	+107.35% YoY
Starbucks matcha menu	Tripled from 4 drinks (2023) to 12+ (2026). Tea revenue up 70%.
Supply situation	Global shortage. Japanese farms refusing new customers. Prices up 150%.
Tim Hortons India	Launched matcha range across all Indian stores in July 2025

When Starbucks triples a menu category and Tim Hortons launches it across all Indian stores, the trend is not emerging -- it is mainstream. The supply shortage (Japanese farms refusing new customers, prices up 150%) means matcha is in a demand-exceeds-supply phase. That is the best possible time to build a brand around it -- customers are actively seeking the product and there is not enough supply to saturate the market.

8. The Tier 2 Opportunity

Every brand mentioned in this report -- DRNK, Alienkind, Tokyo Matcha Bar, Boojee, Mokai -- operates exclusively in Mumbai, Delhi, or Bangalore. The Tier 2 gap is not a small oversight. It is a massive market white space.

City	GenZ Beverage Brands	Cafe Market Status	Opportunity
Jaipur	Zero dedicated. Coffee Sutra has matcha on menu.	14% luxury retail growth. Major chains expanding.	High -- strong spending power, tourism base
Indore	Zero	Growing cafe scene, all traditional format	High -- young population, street food culture
Lucknow	Zero	Chains entering, independent scene nascent	Medium-high -- large GenZ base
Chandigarh	Zero	Strong cafe culture, premium-ready	Very high -- highest per-capita spending in T2
Kochi	Zero	Strong coffee culture, cosmopolitan	High -- early adopters, NRI influence
Pune	Emerging (1-2 attempts)	Strong student + IT population	Medium -- some competition forming

The India cafes and bars market data confirms this opportunity: major chains are allocating 60% of new store openings to Tier 2 cities. Independent outlets hold 76% market share. The infrastructure (digital payments at 87% urban coverage, quick-commerce delivery, Instagram penetration) is already in place. The GenZ consumer in Jaipur has the same Instagram feed as the GenZ consumer in Mumbai. They see DRNK's birthday cake matcha on their explore page. They just cannot get it in their city yet.

9. How to Build a GenZ-First Cafe in Tier 2

Step 1: Build the Community Before the Store

Start an Instagram account for the brand 3-4 months before opening. Post the journey -- finding the location, designing the menu, testing recipes. Share polls on flavour choices. Build anticipation. By launch day, you should have 1,000-2,000 followers who already feel invested in the brand. They will show up on day 1 and create the lines that generate more content.

Step 2: Design the Menu for the Camera

Every item should be photographable. Layered drinks with contrasting colours. Interesting glassware or packaging. A signature item that is visually distinctive (DRNK's birthday cake

matcha with a candle). Drinks GenZ wants to photograph before they taste. This is not about food styling -- it is about building content-generating products.

Step 3: Do Frequent Menu Drops

Do not launch with a fixed menu and leave it for 6 months. Drop new items every 2-3 weeks. Each drop is a content moment -- a reel, a story, a countdown. This gives your followers a reason to keep coming back and gives the algorithm fresh content to distribute. DRNK drops new drinks constantly. Each one generates a wave of customer-created content.

Step 4: Make the Store a Content Set

The store interior should have at least 2-3 spots where customers naturally want to take photos. Neon signs, interesting walls, unique seating, good natural light. Not over-designed -- warm and authentic. DRNK has neon signs and a bright aesthetic. The goal is that every customer who visits creates at least one Instagram story. That is free distribution.

Step 5: Community Over Transactions

Treat your first 100 customers like founding members, not like transactions. Know their names. Let them vote on new menu items. Create a WhatsApp group. Feature them on your Instagram. The tribe forms when people feel ownership. Once the tribe forms, they recruit new members organically -- which is more powerful than any Swiggy listing.

Step 6: Add Aggregators After You Own the Audience

Once you have a loyal community (typically 3-6 months post-launch), add Swiggy and Zomato as delivery channels. At this point you are adding distribution, not depending on it. You set the pricing. You control the brand. The aggregator is a convenience channel for your existing customers who want delivery, not a customer acquisition tool.

10. Traditional Cafe vs GenZ Beverage Bar: Economics

Metric	Traditional Cafe	GenZ Beverage Bar
Setup capex	Rs 15-30L (full kitchen, seating, equipment)	Rs 5-12L (smaller footprint, beverage-focused)
Monthly rent (Tier 2)	Rs 40,000-80,000 (larger space)	Rs 20,000-40,000 (smaller, takeaway-first)
Staff required	6-10 (kitchen + service)	3-5 (beverage prep + counter)
Average ticket size	Rs 300-500	Rs 200-350
Gross margin on beverages	65-70%	70-80% (no food cost drag)
Customer acquisition	Swiggy/Zomato (22-25% commission)	Instagram (zero commission, organic reach)

Repeat visit driver	Location convenience	Community belonging + menu drops
Break-even timeline	12-18 months	6-10 months (lower fixed costs)
Franchise potential	Low (food complexity limits scaling)	High (standardised beverage menu scales easily)

The GenZ beverage bar has structurally better unit economics than a traditional cafe. Lower capex, lower rent (smaller footprint), fewer staff, higher beverage margins, and zero commission customer acquisition through Instagram. The franchise potential is the key long-term advantage -- a standardised beverage menu with no kitchen complexity scales the way coffee chains scale but for the next generation of consumer.

11. The Bottom Line

If you are opening a cafe in India in 2026, you have two choices.

Choice 1: Open a traditional cafe. Serve espressos and sandwiches. List on Swiggy. Pay 22-25% commissions. Compete with 5,339 branded outlets and thousands of independents on the same menu. Hope customers find you. Break even in 18 months if you are lucky.

Choice 2: Open a GenZ-first beverage bar. Build the brand on Instagram before the store opens. Design the menu for the camera. Build a community that shows up on day 1. Lower capex, higher margins, faster break-even. Add Swiggy later after you own the audience. Position for franchise scaling once the model is proven.

DRNK chose option 2. Alienkind chose option 2. Blank Street chose option 2. The VCs funding these companies are betting on option 2. The question is not whether this shift is happening. The question is whether you will be the first to bring it to your city.

Research and analysis by @iamsatyavyas

Follow on Instagram for hidden businesses in Tier 2 India

Data: Mordor Intelligence, World Coffee Portal, Tastewise, Airbtics, Innova Market Insights, company sources

All data verified as of April 2026. Numbers may change. Always verify before investing.